

contract is then US\$2,500. Of course, a full point move in such an instrument does not exactly happen overnight.

Short-term interest futures often scare people away because you need to take on what feels like a massive position to get any sort of real profit or loss out of it. As you will find, in a diversified futures portfolio, the notional underlying exposure of the fund is completely dominated by this sector for that very reason. Comparing with gold as an example, you often need to take on up to 50 times the notional amount to get to the same level of risk, if normalised for volatility, or rather for potential price fluctuations, to be more accurate. Most people might be okay with holding US\$1 million worth of gold in a US\$5 million portfolio, but would you sleep easily at night if you also held a US\$50 million position in the Eurodollar in the same portfolio? Nevertheless, this is essentially a fallacy to avoid and you should be concerned with actual risk and not with notional amounts.

From about year 2 on the curve we have the bond futures where there is an actual underlying bond to be delivered at expiry. Bond futures are quoted in per cent of par, just as a normal bond. That means of course that as yields move up, bond futures move down and vice versa. Each bond futures contract has certain specifications, such as maturity, coupon, issuer and so on, and in theory there are often several different actual bonds that could be delivered against the contract upon expiry. In reality, however, only one bond will be cheapest to deliver and that is the one that will change hands between those who choose to keep their contracts open to the end. As a trader, you don't want to keep your contracts open until expiry though, as you would then have to deal with the actual bonds. The most liquid and therefore most interesting bond futures are those on bonds issued by the respective governments of the USA, Germany, the UK, Australia, Canada, and Japan, although other countries' debt may also be of interest to you should you want to expand in this sector.

A bond future is tied to a certain, although often approximate, maturity. For the US, for instance, the contracts of interest are the 2-year note, the 5-year note, the 10-year note, and the 30-year t-bond. In Germany, the terminology is less straightforward, where the longest-term contract is called the Buxl and represents a German government debt with a remaining term of 24–35 years. There is also the Bund with a duration of 8.5–10.5 years, the Bobl with 4.5–5.5 years and the Schatz with 1.75–2.25 years (see Table 2.6).

The price moves in the bond futures depend on the interest rate changes, which in turn are a factor of many things from inflation to investors' propensity to take risk and the perceived solvency of the issuer.